

DEPARTMENT OF ECONOMICS
UNIVERSITY OF CALABAR, CALABAR
COURSE CODE: ECO 222 COURSE TITLE: MACROECONOMICS
SECOND SEMESTER EXAMINATION TIME: 2HRS

Instruction: Answer question 1 and any other (2) two questions.

1a. Given the following structural equation of a hypothetical economy: $Y = C + I + G + (X - M)$

Where: $C = 150 + 0.45Y_d$

$Y_d = Y - T$; $T = 150$; $I = 60 + 0.15Y$; $G = 100$; $X = 130$; $M = 115$

Determine the equilibrium national income.

1b. Determine the income multiplier.

2a. Given a consumption function as: $C = a + bY$, derive a saving function from the consumption function and determine dis-savings and marginal propensity to save.

2b. Enumerate five reasons why people save.

2c. List at least four determinants of saving in the Nigerian economy.

3a. Define business cycle.

3b. List and explain four phases in the business cycle with illustrations.

3c. Write short notes on two of the following: (1) frictional unemployment (2) economic model (3) multiple counting (4) limitation of macroeconomics.

4a. With a well-labelled diagram, illustrate the circular flow of national income in a three sector economic model.

4b. What are the challenges encountered in the measuring of national income accounting?

5a. What is inflation?

5b. Carefully discuss four sources of inflation in Nigeria.

5c. Outline and discuss five consequences of inflation in Nigeria.